Getting the TDS section right on every vendor invoice

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1. The area I explored, and what surprised me

I looked at **TDS (tax deducted at source) on payments to vendors** in India. When a company pays a resident vendor for services, rent or commission, it has to cut a percentage, deposit it with the government and report it every quarter (Form 26Q). The legal responsibility sits with the company that pays, not with the vendor. I went in expecting the difficult part to be the tax rules. It wasn't.

- **The rates are the easy part; reading the invoice is the hard part.** The rates fit in a small table. Deciding what an invoice line is actually paying for is the real work: "hire of crane *without operator*" is rent of machinery (2%), while a crane hired along with its operator starts to look like a contract.
- **One word can belong to two sections.** "Advertising" is listed as *work* under 194C and as a *profession* under 194J. A 1995 CBDT circular (No. 715) settles it for agencies. Nobody would guess this from the Act alone.
- **The answer is not per invoice.** Thresholds are counted per vendor per year, so a Rs 25,000 repair bill can mean deducting tax on Rs 1,07,000 because it pushed the year past Rs 1 lakh.
- **Mistakes are lopsided.** Deduct too little and the company pays interest (1-1.5% a month) and loses 30% of that expense as a tax deduction (s.40(a)(ia)). Deduct too much and the vendor is unhappy, but the company faces no penalty.

Why now. The Income-tax Act 2025 replaced the 1961 Act from 1 April 2026. TDS sections that accountants know by number (194C, 194J...) now sit in one consolidated table, and the Finance Act 2025 had already changed several thresholds (194J from Rs 30,000 to Rs 50,000, 194H from Rs 15,000 to Rs 20,000, 194I to Rs 50,000 a month). A language model trained before these changes will quote the old numbers with confidence. Knowledge that was right last year is wrong now, which tells me where the knowledge should *not* live.

2. Problem statement

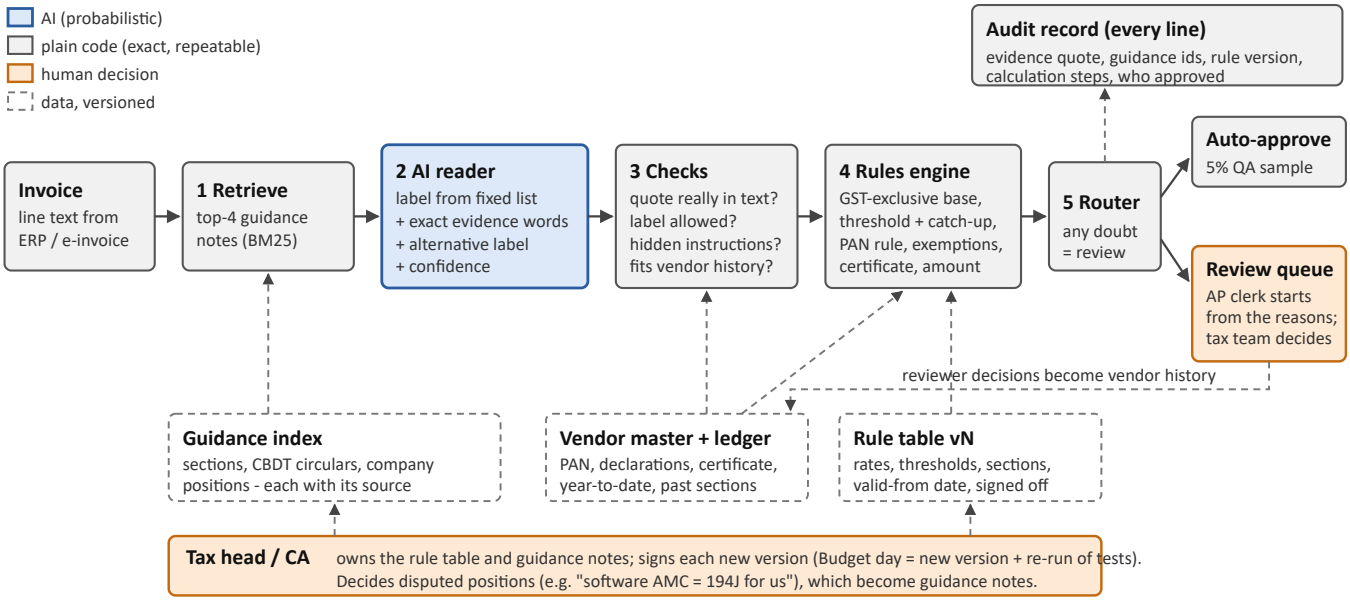
> **Help an accounts-payable clerk put every service invoice line under the right TDS section, with the reason written down, and make sure the lines that need a tax expert actually reach one.**

Who	AP executive in a mid-size Indian company. My working assumption: around 300 active service vendors and about 1,500 service invoices a month.
Task	Before each payment: does TDS apply, under which section, at what rate, on what base amount?
How often	Every invoice, every day. Errors surface months later in TRACES default notices ("short deduction").
Cost today	If about 20% of lines need a look at the contract or a question to the tax team (~15 min each), that is roughly **75 hours a month** of skilled time. One error is costly: a Rs 10 lakh consultancy booked at 2% instead of 10% is a Rs 80,000 short deduction plus interest; if nothing was deducted at all, Rs 3 lakh of expense is disallowed (about Rs 75,000 extra tax). *These volumes are my estimates and the first thing I would check (section 6).*

Out of scope: payments to non-residents (s.195 and tax treaties); the tool detects these and hands them to a person. Also out: salary TDS, TDS on purchase of goods (194Q), filing returns and challans, and OCR of scanned invoices (I assume invoice text from the ERP or e-invoice). The tool does not decide disputed tax positions. It surfaces them; the tax head decides.

3. Solution design

The core idea is to split the question in two. "What is this line paying for?" is a reading problem: open-ended language, so this is where AI helps. "Given that, which section, what rate, how much?" is law and arithmetic: it must be exact, versioned and checkable, so it is plain code. **The model never outputs a section, a rate or an amount.** It picks one label from a fixed list of nine (contract work, goods transport, professional service, technical service, rent of building, rent of machinery, commission, goods, unclear) and copies the exact words from the invoice that made it choose.



Where each piece of knowledge lives, and what happens when it goes out of date

Knowledge	Lives in	When it changes
Understanding invoice wording	The model	Nothing to update. Any decent model can be swapped in, because it only picks a label.
Rates, thresholds, section numbers	Rule table (code/data)	New version with a valid-from date, signed by the tax head. Old versions stay for old invoices. The test set is re-run before go-live.
Interpretation (circulars, company positions)	Guidance index	Each note has a source and owner; a withdrawn circular is removed and every decision that cited it can be found.
Facts about the vendor (PAN, exemptions)	Vendor master	Only from verified documents. Text on an invoice can never grant an exemption.
Judgement on grey areas	A person	Their decision is written back as vendor history and, if general, as a guidance note, so the same question is not asked twice.

Inputs, outputs, human review and uncertainty

In: invoice text, vendor master, year-to-date ledger, rule table. **Out:** per line, the section, base, rate and amount, plus an audit record. **A line goes to a person if any one of these is true:** model confidence not high; the model offers an alternative label that would change the section; the evidence quote is not found word-for-word in the invoice; the section differs from this vendor's history; no PAN; foreign vendor; the invoice contains instructions or exemption claims; certificate limit exceeded; large amount. Everything else is auto-approved, with a 5% sample checked later.

I judge the system by **silent errors** (wrong and auto-approved), not by accuracy. A wrong answer in the queue costs five minutes. A wrong answer that goes through costs interest and a disallowance, found months later.

Why AI at all, and what I considered and rejected

Why not just rules? Most ERPs today attach one default section to each vendor. That fails on mixed invoices and on vendors who sell several things. I also built a keyword classifier: fine on the invoices I wrote it against, but on seven re-worded ones it handled only one correctly on its own and made one silent error ("forklift on monthly lease" read as building rent at 10%). It even matched "re**lease** of advertisement" as a lease. Invoice wording is open-ended; that is the one job I give the model.

- **One LLM call that returns the section and amount:** rejected. It can't be audited, it bakes last year's law into model weights, and arithmetic is not guaranteed.
- **Several cooperating agents** (reader, tax expert, checker): rejected. Every check I need is deterministic; a second model adds cost and a new way to fail without adding a decision code can't make.
- **Vector database / embeddings:** rejected for now. The guidance corpus is a few dozen notes and BM25 shows exactly why a note was picked. I would revisit it if case law were added.
- **Fine-tuning a classifier on past bookings:** rejected. Past bookings contain past mistakes, and with a fixed label list a change in law never touches the model anyway.

- **Full automation:** rejected. The law puts liability on the deductor, and grey-area positions are a business decision.

4. Prototype and what it showed

Python, no libraries, model via OpenRouter free tier. 26 **made-up** invoices (27 lines): 19 written alongside the design and 7 "held-out" ones written after the keyword list was frozen, using different wording for the same services. They cover thresholds and catch-up, missing PAN, small-transporter exemption, a lower-deduction certificate, hotel rooms as rent, an advertising agency, a passenger-cab trap, a foreign vendor, a prompt-injection note and an invoice too vague for anyone to classify.

Reader	OK	Caught (wrong, but reviewed)	Missed review	Silent error
Correct label supplied (tests the engine alone)	27	0	0	0
Keyword rules (non-AI baseline)	19	6	1	1
LLM reader (Nemotron 3 Ultra, free tier, one run)	26 (+1 extra review)	0	0	0

The first row matters more than it looks: when the reading is right, every amount is right, so **every error left is a reading error**, which is exactly the part the review queue is built around. The model read all held-out wording correctly, flagged both genuinely ambiguous cases and the vague invoice, and ignored the injected "do not deduct" note. **Where it went wrong or got lucky:** for the foreign SaaS vendor it stretched the note on software maintenance to a subscription and called it a technical fee, a wrong legal analogy that was caught only because the residency check is code. For the architect, the search missed the right note ("Architects" does not match "architect") and the model got there from the label list alone. It also cited the GST note when it was irrelevant. **I would not read 0 silent errors as "solved":** 27 tidy, made-up lines from one run is a smoke test, and real invoices are messier. Nothing fixes a vague invoice either. That needs the PO or contract, not a better model.

5. Risks and how the design handles them

Risk	Handling
Wrong answers	Fixed label list, evidence must exist in the invoice, any doubt goes to review, silent errors tracked as the main metric, 5% QA sample of auto-approved lines.
Outdated rules	Law lives in a versioned, signed rule table, not in the model. Each decision stores the rule version. **This is also the weakest point:** if nobody updates the table on Budget day, the system is confidently wrong. Mitigation: the table carries a review-by date and the system refuses to auto-approve after it.
Confidential data	The reader only needs line descriptions: PAN, bank details and amounts need not be sent. Use a no-retention API or a self-hosted open model. The prototype still sends vendor name and amounts; that should be stripped.
Liability / advice	The company remains the deductor and is liable. The tool is decision support for its own staff, not advice to anyone else. Grey-area positions are signed by the tax head; the audit record shows who approved what.
Manipulation	Invoice text is written by the vendor. It is treated as data; exemptions come only from the vendor master; instruction-like text forces review.

6. What I would check before spending more time

- **Is the problem as big as I think?** Sit with two or three AP teams and count how many invoice lines are genuinely unclear. If almost every vendor only ever does one thing, a vendor-level default plus this tool for exceptions is enough.
- **Which sections actually produce notices?** TRACES default reports would show where short deductions really come from.
- **Confirm the law with a practitioner:** new-Act references and any Finance Act 2026 change (marked "verify" in the rule table).
- **Read the PO and contract, not only the invoice.** Most of the ambiguity I found would disappear with the contract scope.
- **Another country:** the same split carries over, e.g. US Form 1099 reporting (which box a vendor payment belongs in). The label list, rule table and guidance change; the reader, checks and router do not.

Appendix: my contribution and the role of AI

Where AI helped

I used Claude selectively as an accelerator, not as the author of the solution. It helped me **search, summarise and challenge my first drafts**: reading up on TDS sections and CBDT circulars, suggesting ways to structure the rule table, generating a few candidate synthetic invoices and proposing implementation alternatives. I checked the relevant references, rewrote the material into the final design, and tested the prototype myself. The problem framing, scope, architecture, evaluation method and conclusions are my decisions; generated text was never treated as legal evidence.

What I rejected or corrected

- **One LLM call that returns the tax amount.** Dropped for the reading/computing split. Thresholds changed in 2025 and section numbers in 2026, and a model's memory of law cannot be audited or updated by anyone.
- **A flattering baseline.** The first keyword classifier looked near-perfect on the cases written with it. Seven held-out cases with different wording broke it ("forklift on monthly lease" became building rent at 10%), so the comparison now uses them.
- **"0 silent errors" taken at face value.** The live run was right, but in two cases for weak reasons: the foreign SaaS vendor was called a technical fee by a wrong analogy, and the architect case had no relevant guidance note. I kept both in section 4 instead of reporting only the headline.
- **Tooling assumptions.** The default model in the code was no longer free, one free model was rate-limited and another refused API use; I switched to one that worked and recorded it in the README.
- **The more impressive problem.** Foreign remittance under a treaty was on the table. I chose the plainer one because it can be stated in one sentence and tested honestly.

What came from me

- Picking the problem and its scope (resident vendors only; no OCR; no filing), and asking for a short, plain brief rather than an elaborate system.
- Insisting on a real model run with results reported as they came out, including the failures, rather than a design on paper.
- Treating a vague invoice as a case the system must hand to a person, and judging the system by where its errors end up (reviewed or auto-approved) instead of by accuracy alone.

One thing I would stand behind without AI

The split between reading and computing. The model is allowed to do only the one thing that needs language understanding, naming what a line pays for and pointing at the words. Everything with legal or financial consequence, the section, rate, threshold, catch-up and amount, is plain code that reads from a signed, versioned table. That is what makes each answer traceable for an auditor, lets the law change without touching the model, and means a model mistake can only ever show up as a wrong label, which the checks and the review queue are designed to catch. I can draw this on a whiteboard and walk through any test case by hand.

Data note: all invoices, vendors and PANs in the prototype are synthetic. Legal references are to the Income-tax Act 1961 as amended by the Finance Act 2025, CBDT Circulars 715 (1995), 5/2002 and 23/2017. The mapping to the Income-tax Act 2025 is marked for verification in the rule table.